EXECUTIVE SUMMARY

1. Introduction

Buguey was founded and created on May 20, 1623 as a town by virtue of Royal Decree issued by the King of Spain. The municipality is situated at the northern part of the Province of Cagayan. It is bounded on the north by the Babuyan Channel, on the south by the municipality of Lal-lo, on the east by the municipality of Sta Teresita (former part of Buguey) and on the west by the municipality of Aparri.

A financial and compliance audit was conducted on the operations of the municipal government of Buguey, Cagayan for the year ended December 31, 2015. The audit was made in accordance with generally accepted and prescribed government auditing standards, and accordingly included such tests of accounting records and such other auditing procedures as we considered necessary under the circumstances. The audit consisted of review of operating procedures, processes and practices being done by the municipality, the books of accounts and subsidiary records and the reliability of the financial reports. Financial transactions, accounts and reports were examined to ascertain the extent of compliance with laws, rules and regulations and budgetary requirements with due regard to economy, efficiency and effectiveness of its operations.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Buguey for the year ended December 31, 2015, with comparative figures for CY 2014, are as follows:

Particulars	2015	2014	Increase (Decrease)
Financial Condition			
Total Assets	P 118,363,586.19	P118,774,133.33	P (410,547.14)
Total Liabilities	39,392,765.76	50,191,956.97	(10,799,191.21)
Total Government Equity	78,970,820.43	68,582,176.36	10,388,644.07
Results of Operation			
Total Income	109,245,874.62	82,501,441.39	26,744,433.23
Total Expenses	99,593,249.21	71,213,956.46	28,379,292.75
Appropriations, Allotments and Obligations			
Appropriations - Current	133,866,849.74	99,811,635.09	34,055,214.65
Appropriations - Continuing	7,264,944.51	11,298,234.07	(4,033,289.56)
Allotments - Current	133,866,849.74	99,811,635.09	34,055,214.65
Allotments - Continuing	7,264,944.51	11,298,234.07	(4,033,289.56)
Obligations – Current	87,018,061.25	79,649,320.92	7,368,740.33
Obligations – Continuing	2,267,803.37	7,379,495.04	(5,111,691.67)

The table above shows that the Municipality's assets, liabilities and government equity as of December 31, 2015 were P118,363,586.19, P39,392,765.76 and P78,970,820.43. The liabilities and government equity of the municipality increased/(decreased) by (22%) and 15%, respectively, while the decrease in assets is nominal from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P109,245,874.62 and P99,593,249.21 which increased by 32% and 40%, respectively, from last year's figures.

For the year 2015, the Municipality of Buguey appropriated the total amount of P34,055,214.65 of which P87,018,061.25 has been obligated as of year-end. Continuing appropriations for the year amounted to P7,264,944.51 which had a remaining balance of P 4,997,141.14 as of year-end (see Annex 2).

Comparative Statement of Fund Transfers to Other NGAs and LGUs are as follows:

Particulars	2015	2014	Increase (Decrease)
Funds Received from Other Agencies			
Due from LGUs	P 635,179.00	P 635,179.00	P 0.00
TOTAL	**P 635,179.00**	**P 635,179.00**	**P 0.00**
Funds Transferred to Other Agencies:			
Due to Other NGAs	P 1,790,216.25	P 1,829,313.12	P (39,096.87)
Due to Other GOCCs	2,441.20	2,441.20	0.00
Due to LGUs	5,285,707.70	9,961,470.04	(4,675,762.34)
TOTAL	**P 7,078,365.15**	**P11,793,224.36**	**P(4,714,859.21**

Funds received by the Municipality from Other Agencies amounted to P635,179.00, the same with last year. On the other hand, funds transferred to Other Agencies amounted to P7,078,365.15 with a decrease of 40% from last year's figures.

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements of the Municipality of Buguey due to the effects of failure of the agency to conduct physical inventory of its *Property, Plant and Equipment* with net book value amounting to P64,398,810.27 as of year-end.

4. Significant Findings and Recommendations

Financial and Compliance Audit

a. Collections amounting to P756,169.26 were not deposited intact at the end of the year contrary with COA Circular No. 92-382 dated July 3, 1992 and

Section 32, Volume I of the Manual on the New Government Accounting System for Local Government Units.

We recommended that all undeposited collections totaling P 756,169.26 as of December 31, 2015 should be deposited intact regularly with its authorized depository bank pursuant to the aforementioned regulation and to avoid exposing the funds to the risk of loss, misapplication or misappropriation.

b. Cash advances totalling to P3,143,272.94 had remained unliquidated at year-end due to the failure of concerned accountable officers and employees to settle their accountabilities and strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances as provided under pertinent provisions of Presidential Decree No. 1445 and COA Circular No. 97-002 dated February 10, 1997.

We recommended that management strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances. The Municipal Accountant should not allow the grant of additional cash advance to officials and employees unless the previous cash advance shall have been first liquidated or a proper accounting thereof had been made.

Earnest effort should be exerted to cause the liquidation of these cash advances of officials and employees most especially those who are still in active or employed in the municipality. Likewise, management should issue demand letter for the immediate liquidation of cash advances to those not active/employed in the municipality.

c. Liquidation reports on fund transfers to Local Government Units (Barangays) amounting to P635,179.00 for various programs implemented by the barangays were not liquidated and submitted despite completion of the project, contrary to Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012.

We recommended that management, fully adhere with the provisions Memorandum of Agreement (MOA) executed for the purpose and the documentary requirements on liquidation of fund transfer provided under COA Circular No. 2012-01 dated June 14, 2012.

d. Copies of perfected contracts, together with the supporting documents, were not submitted on time to the office of the auditor for review and evaluation, in violation of COA Circular No. 2009-001 dated February 12, 2009.

We recommended that management strictly comply with the submission/transmittal of executed contracts together with supporting documents within five (5) days after its perfection to afford the audit team a prompt review and evaluation thereof. Any defects/deficiency in result of the review shall be

timely communicated to management as a tool to adopt corrective measures and/or improve their operational and procurement processes.

e. The Ecological Solid Waste Management Plan submitted by the municipality was not approved by the National Solid Waste Management Commission contrary with the provision of Section 5(b) of Republic Act No. 9003, also known as the Ecological Solid Waste Management Act of 2000.

We recommended that management make representations with the approval for their Solid Waste Plan and enforce its implementation for the welfare and security of the people and for the protection of the environment.

f. The annual GAD Plan and Budget (GPB) totalling to P4,367,582.60 were not reviewed and approved by the DILG Regional Office as provided under PCW-DILG-DBM-NEDA Joint Circular No. 2013-01, thus, identified programs, projects and activities cannot be ascertained whether it is in accordance with the Joint Circular.

We recommended that management to comply with the provisions of PCW-DILG-DBM-NEDA Joint Circular No. 2013-01 dated July 18, 2013 on the preparation, review and approval of GAD Plan and Budget.

g. The municipality paid wages amounting to P6,729,033.73 in hiring an average of One Hundred Seventy Eight (178) contractual, casual and job order personnel without clear and written Policy Guidelines in hiring or engaging their services, which may result to excessive workforce, work duplication and eventual waste of financial resources.

We recommended that management formulate a Policy Guideline for contractual/casual/job order employees, taking into consideration the necessity of hiring and the reasonable number of contractual/casual/job order employees to be assigned in different offices in order to avoid excessive manpower and work duplication.

The policy guidelines to be formulated shall not, in any way, restrict the manpower requirements needed in the delivery of vital services for the implementation of the various programs and activities of the municipality and will promote optimum utilization of financial resources.

h. The validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting to P64,398,810.27 as of December 31, 2015 could not be ascertained due to failure of the agency to conduct annual physical inventory of properties as of year-end which is contrary to Section 156 of COA Circular No. 92-386.

We recommended to the Local Chief Executive to create a committee to conduct physical inventory of the properties of the municipality and to prepare a

report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records, pursuant to the provisions of Section 156 of COA Circular No. 92-386 dated October 20, 1992.

Value for Money Audit

i. The amount of P2,265,000.00 appropriated for 20% development projects was not utilized resulting to the non-realization of the benefits that could have been derived thereat.

We recommended that management to direct all concerned officials to implement immediately the projects under the 20% development fund for the benefit of its constituents and other intended beneficiaries as projected and planned.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issuances	Settlements	Ending Balance	% of Settlement
Suspensions					
Prior Years	360,797.31	-	295,997.31	64,800.00	82%
Current Year	-	-	-	-	
Total	360,797.31	-	295,997.31	64,800.00	82%
Disallowances					
Prior Years	2,320.00	-	2,320.00	-	100%
Current Year	-	-	-	-	
Total	2,320.00	-	2,320.00	-	100%
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

6. Status of Implementation of Prior Year's Audit Recommendations

Out of 10 audit recommendations embodied in the 2014 Annual Audit Report, three (3) were fully implemented, one (1) was partially implemented and six (6) were not implemented as of December 31, 2015.